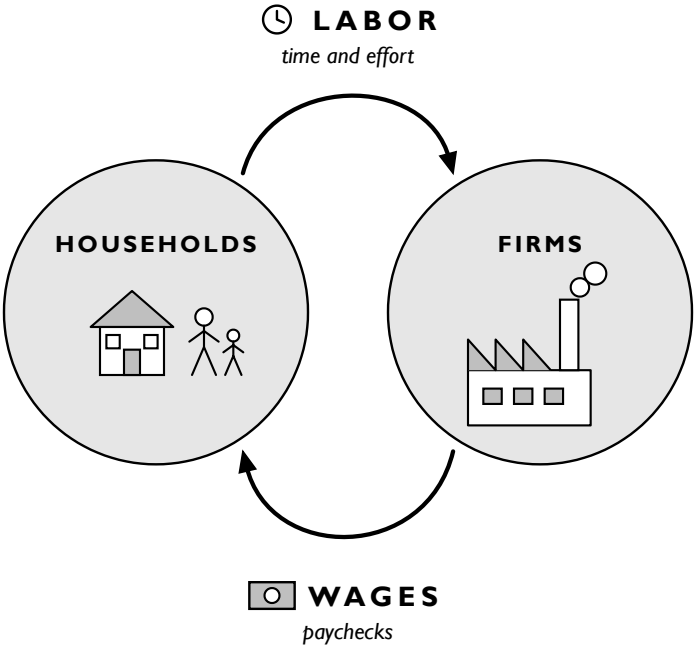
BEFORE THE GREAT DECOUPLING

THE WAGE-BASED SYSTEM

TODAY

Households earn by working.



THE THREE BUCKETS OF HOUSEHOLD INCOME



WAGES **60%** TRANSFERS **20%** CAPITAL **20%**

About $1 from capital for every $4 from wages and transfers (CAR ≈ 0.25)

SEE CHAPTER 5

The Fourth Pillar: Measuring the Great Decoupling